

# Ideal Customer Profile

The analysis suggests that the company's ideal customer profile comprises of customer who showcase sustained engagement, repeat purchasing behaviour, and a high purchasing frequency rather than higher discount dependence.

The ideal customer is a **VIP customer who also belongs to the High Loyalty or Champion segment**. These customers combine high spending (\$84.06 average purchase), strong repeat-purchase behaviour (34.61 previous purchases), and high engagement frequency (25.42), and also showing strong organic demand. They generate high revenue for the brand not because of a single high order value but consistently buying over time.

## Core Behavioral Characteristics

The ideal customer is the one who is highly likely to return for more orders, and they are also have a long lasting engagement with the brand. Previous purchases for the VIP customers were significantly higher than that for Low Value customers (34.61 vs 16.91) and the purchase frequency scores of VIP customers were also significantly higher than the scores for Low Value customers (25.42 vs 10.73).

The top performing customers exhibited very high purchase-frequency behaviour with several of the highest value customers exhibiting weekly purchasing behavior. This suggests a positive relationship between long-term customer value and engagement intensity along with repeat purchasing.

## Spending Characteristics

The average purchase amount for High Value customers is \$84.06, while that of Low Value customers is \$34.50. Not only these customers are one-time high spenders, but these customers exhibit much more robust purchase histories and repeat engagement.

## Loyalty Characteristics

Around 84% of VIP customers fall under High Loyalty and Champion segments, showing a high level of alignment between customer value and behavioral loyalty. This indicates that the company's best customers are not only highly spending but also have a tendency of repeat engagement.

## Promotional Behavior

Limited behavioral differences were found between discount users and non-discount users in all loyalty segments. The data on the purchasing behavior of Champion customers

showed almost the same behavior irrespective of discounts, indicating that the company's top customers are more likely to be looking for consistent engagement than promotional reliance.

## Product Preferences

Clothing represented the largest VIP customer category, accounting for 445 VIP customers. Accessories and Footwear segments also demonstrated relatively strong retention and customer-value characteristics, although category-level differences remained modest overall.

The highest number of VIP customers was found to be in the "clothing" category (445). The Accessories and Footwear segments also had relatively high levels of retention and customer-value, but the differences at the category level is relatively small.

## Geographic Characteristics

Multiple regions exhibited high customer-quality signals in various dimensions. Arizona had the highest levels of discount independence and of organic demand, Alaska had strong levels of spending and engagement characteristics in both areas, Hawaii had the highest levels of repeat purchase, Illinois had the highest levels of VIP concentration, and Alabama had the highest quality VIP customer profile. These areas may be key strategic locations to cultivate customer retention and growth efforts.

## Demographic Characteristics

The data set consisted of about 70% male customers in the VIP segment. Gender is not correlated with loyalty but rather it indicates that a higher proportion of male customers were in the highest value segment of the customer population. Furthermore, in some random cases, males bought women's clothes or accessories. This insight may help in devising gender targeted campaigns.